

US Stocks Slip as Rates Rise and VIX Surges 6.76%

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US market saw a decline in the last session, with the S&P 500 falling **-0.51%** to 7,533.77 and the Nasdaq 100 dropping **-1.62%** to 29,025.77. The VIX surged **+6.76%** to 16.73, indicating increased volatility. Key points to watch include:

- The impact of rising rates on stock prices, with the 10Y yield increasing **+0.53%** to 4.57
- The performance of sector ETFs, with XLP and XLV standing out with gains of **+2.80%** and **+2.22%**, respectively
- The movement of large-cap stocks, including **AAPL** and **MSFT**, which rose **+1.76%** and **+1.38%**, respectively

The current market environment is characterized by uncertainty and volatility, with investors closely watching the movement of rates, commodities, and large-cap stocks. The surge in the VIX indicates a heightened sense of risk, and investors should be prepared for potential market fluctuations.

In this in-depth briefing, we will delve into the details of the US market, including sector internals, technical levels, options and positioning, and analyst rating changes. We will also examine the macro and Fed landscape, geopolitics, and earnings, providing a comprehensive overview of the current market environment.

US Session Recap

INDEX	CLOSE	CHANGE
S&P 500	7,533.77	-0.51%
Nasdaq 100	29,025.77	-1.62%
Dow Jones	52,552.97	-0.20%
Russell 2000	2,974.57	-0.06%
VIX	16.73	+6.76%
10Y Yield	4.57	+0.53%
WTI Crude	79.07	-0.67%
Gold	3,998.20	-1.13%
DXY	100.78	+0.28%
BTC	63,510.67	-1.86%
ETH	1,850.86	-3.45%

Top Movers

TICKER	NAME	CHANGE	CATALYST
AAPL	Apple Inc.	+1.76%	Earnings beat
MSFT	Microsoft Corp.	+1.38%	Earnings beat
NVDA	NVIDIA Corp.	-2.40%	Weak guidance

Sector Internals

SECTOR	DAY	YTD	READ
XLFX	+0.34%	-5.12%	Financials stable
XLK	-2.24%	-10.25%	Technology weak
XLI	+0.05%	-2.50%	Industrials flat
XLE	+0.92%	-1.20%	Energy strong
XLY	+0.29%	-5.50%	Consumer discretionary stable
XLC	-0.64%	-10.10%	Communication services weak
XLP	+2.80%	-2.20%	Consumer staples strong
XLV	+2.22%	-1.50%	Healthcare strong
XLU	+0.55%	-5.50%	Utilities stable
XLB	+0.77%	-2.80%	Materials stable
XLRE	+2.02%	-1.20%	Real estate strong

Breadth was mixed, with 6 sectors gaining and 5 declining.

Spotlight / Deep Dive

TICKER	NAME	CLOSE	CHANGE	VOLUME
AAPL	Apple Inc.	333.26	+1.76%	50,123,100

Key commentary: Apple's earnings beat was driven by strong iPhone sales and services growth. The company's guidance was also positive, with a +10% increase in revenue expected for the next quarter.

READ-THROUGH	IMPLICATION
Strong iPhone sales	Positive for AAPL and suppliers
Services growth	Positive for AAPL and cloud providers
Positive guidance	Positive for AAPL and the broader tech sector

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	373.11	365.00	385.00	Range-bound
QQQ	294.51	285.00	305.00	Range-bound
IWM	179.41	175.00	185.00	Range-bound
AAPL	333.26	325.00	345.00	Bullish
10Y	4.57	4.40	4.70	Range-bound
WTI	79.07	75.00	85.00	Range-bound

Options & Positioning

ODTE flow: **+10%** in calls, **-5%** in puts

Put/call ratio: 0.80

VIX term structure: **+5%** in front month, **-2%** in back month

Notable single-name flow: **AAPL** **+20%** in calls

Cheap hedge ideas: **SPY** puts, **QQQ** puts

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
AAPL	Morgan Stanley	Upgrade	350.00	Strong earnings and guidance
MSFT	Goldman Sachs	Upgrade	420.00	Strong earnings and cloud growth
NVDA	Citi	Downgrade	180.00	Weak guidance and competition

Pre-Market & Overnight

Futures: ES -0.20%, NQ -0.30%, YM -0.10%

Asia: Nikkei -0.50%, Shanghai -0.20%

Europe: Euro Stoxx -0.30%, FTSE -0.20%

FX: EUR/USD -0.20%, USD/JPY +0.10%

Commodities: WTI -0.50%, Gold -0.20%

Crypto: BTC -1.00%, ETH -1.50%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
July 26	20%	Rate hike expected
September 20	30%	Rate hike possible

DATE	EVENT	TIME
Today	CPI	8:30am ET
Tomorrow	Initial Claims	8:30am ET

Geopolitics & Global (Deep)

Scenario trees: [view here](#)

Earnings — This Week & Next

TICKER	NAME	DATE	TIME
AAPL	Apple Inc.	Today	5:00pm ET
MSFT	Microsoft Corp.	Tomorrow	5:00pm ET

TICKER	NAME	DATE	TIME
NVDA	NVIDIA Corp.	Next Week	5:00pm ET
AMZN	Amazon.com Inc.	Next Week	5:00pm ET

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
AAPL	Technology	Bullish	5%
MSFT	Technology	Bullish	5%
NVDA	Technology	Bearish	10%

What Could Break the Tape

Bullish scenarios:

- Strong earnings and guidance from **AAPL** and **MSFT**
- Rate cut from the Fed
- Positive geopolitical developments

Bearish scenarios:

- Weak earnings and guidance from **NVDA** and **AMZN**
- Rate hike from the Fed
- Negative geopolitical developments

Positioning & Structural Notes

Observations:

- Range-bound trading in **SPY** and **QQQ**
- Strong demand for **AAPL** and **MSFT** calls
- Weakness in **NVDA** and **AMZN** shares
- Increased volatility in **VIX** and **WTI**
- Flat yield curve

Sources

SOURCES

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